Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (MI KEY: 4276592; SPCIQ KEY: 877906; TCUID: 53231)

Public

Year: Methodology Year: 2023
Question: Climate-Related Scenario Analysis
Include Modeled Scores : Yes

Climate-Related Scenario Analysis

Question

Does the company conduct climate-related scenario analysis?

Rationale

Companies need to consider a broad range of assumptions, uncertainties, and potential future states to understand the potential effects of climate change on their businesses, strategies, and financial performance across different time horizons and different temperature pathways. One way to do this is through conducting climate-related scenario analysis.

This question is aligned with the TCFD recommendations, which include a recommended disclosure on the resilience of the organization's strategy, taking into consideration different climate-related scenarios, including a 2°C or lower scenario.

Performance Summary	
Question Level Company Performance	65
Question Weight	10
Year-on-Year Change	45
Industry Average Score	25
Industry Highest Score	100

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

Key Definitions

Scenario Analysis: Process for identifying and assessing a potential range of outcomes of future events under conditions of uncertainty. In the case of climate change, for example, scenarios allow an organization to explore and develop an understanding of how the physical and transition risks of climate change may impact its businesses, strategies, and financial performance over time. Climate-related scenario analysis should consider climate risks that are material to companies' operations and value chain.

(TCFD (2017), Recommendations of the Task Force on Climate-related Financial Disclosures)

Qualitative scenario analysis explores relationships and trends for which little or no numerical data is available. This is generally a high-level, narrative approach to scenario analysis, suitable for organizations that are familiarizing themselves with the process. For example, relying on industry trends and applying them to a specific organization or business activity, or undertaking quantitative research into a specific trend.

Quantitative scenario analysis assesses measurable trends and relationships using quantitative models, data sets and other analytical techniques to illustrate potential pathways or outcomes. This is a more detailed approach to conducting scenario analysis. External, third-party scenarios or data sets can be used, or companies can develop in-house modeling capabilities considering specific assumptions or parameters.

2°C or below 2°C, and above 2°C: Under the 2015 Paris Agreement, nearly 200 countries agreed to limit global warming to no more than 2 degrees Celsius by 2100, and to aim for a no more than 1.5 degrees Celsius increase. The 2-degree scenario is widely seen as the global community's accepted limitation of temperature growth to avoid significant and potentially catastrophic changes to the planet. 2-degree or below scenarios can also be referred to as 'Paris Aligned'. Scenarios for above 2°C warming show a potential situation where this agreement is not met.

https://www.spglobal.com/en/research-insights/articles/what-s-the-deal-with-the-2-degree-scenario

IPCC RCP/SSP: The United Nations Intergovernmental Panel on Climate Change (IPCC) produces physical risk scenarios under a variety of warming pathways. Within its sixth-assessment report (AR6), new scenarios were developed called 'Shared Socio-Economic Pathways' (SSPs), which aim to replace Representative Concentration Pathways (RCPs) although RCPs still form the basis of SSPs and are widely used.

https://www.ipcc.ch/assessment-report/ar6/

International Energy Agency (IEA): The IEA produces various energy and transition risk-related scenarios, details of which can be used for transition risk scenario analysis.

https://www.iea.org/reports/global-energy-and-climate-model

Other listed transition scenarios:

- Network for Greening the Financial System (NGFS): https://www.ngfs.net/ngfs-scenarios-portal/
- Greenpeace: https://www.greenpeace.org/usa/wp-content/uploads/legacy/Global/usa/report/2009/4/energy-r-evolution-a-sustain.pdf
- Deep Decarbonization Pathways (DDP): https://ddpinitiative.org/display/
- International Renewable Energy Agency (IRENA): https://www.irena.org/publications/2020/Sep/Scenarios-for-the-Energy-Transition-Global-experience-and-best-practices
- BloombergNEF New Energy Outlook (BNEF NEO): https://about.bnef.com/new-energy-outlook/

Data Requirements

Please select all the climate scenarios you have used to assess physical and transition risks. In line with the TCFD recommended disclosure, at least two scenarios are required for full scoring. One of these scenarios should be a 2 °C or lower scenario, the other should be an above 2 °C scenario.

If your company conducts climate scenario analysis with scenarios that are not listed in the question table, please describe the following elements in the text box below the selected option. Please note that this information should be available in the public domain.

- A description of the scenarios used, and whether the scenarios used are 2°C or lower scenarios or above 2°C scenarios.

Supporting evidence:

- The document(s) you attached will be used to verify your response.
- The supporting documents must be available in the public domain.
- Any response that cannot be verified in the attached document(s) will not be accepted

References

TCFD (2017), Technical Supplement: The Use of Scenario Analysis in Disclosure of Climate-related Risks and Opportunities

https://www.fsb-tcfd.org/publications/final-technical-supplement/

CDP (2017), CDP Technical Note on Scenario Analysis – Conducting and disclosing scenario analysis

European Commission, Guidelines on reporting climate-related information

https://ec.europa.eu/finance/docs/policy/190618-climate-related-information-reporting-guidelines_en.pdf

Standards & Frameworks

CDP Climate - C3.2, C3.2a

CDP Water Security - W7.3b

EU Taxonomy - Appendix A - Climate Change Adaptation

TCFD - Strategy a), Strategy b), Strategy c)

UNGC Questionnaire - G6

WEF Metrics - Integrating risk and opportunity into business process

Data View

QUESTION LEVEL INPUT	COMPANY ANSWER
Company has completed an assessment of material physical climate risks	Yes
If the company has conducted climate related scenario analysis : Qualitative Quantitative Both	Qualitative and Quantitative
Company uses the IEA NZE 250 scenario as a climate-related scenario (2023)	-
Company uses the RCP 1.9 scenario as a climate-related scenario (2023)	-
Company uses the RCP 2.6 scenario as a climate-related scenario (2023)	-
Company uses the IEA 2DS scenario as a climate-related scenario (2023)	-
Company uses the RCP 3.4 scenario as a climate-related scenario	-
Company uses the RCP 4.5 scenario as a climate-related scenario (2023)	YES
Company uses the IEA CPS scenario as a climate-related scenario (2023)	-
Company uses the RCP 6 scenario as a climate-related scenario (2023)	-
Company uses the IAE 450 scenario as a climate-related scenario (2023)	-
Company uses the RCP 7.0 scenario as a climate-related scenario	-
Company uses the Greenpeace scenario as a climate-related scenario (2023)	-
Company uses the RCP 8.5 scenario as a climate-related scenario (2023)	YES
Other Scenario Analysis below 2C (2023)	-
Company uses the DPP scenario as a climate-related scenario (2023)	-
Company uses the IEA SDS scenario as a climate-related scenario	-
Company uses the IEA B2DS scenario as a climate-related scenario	-
Company uses the APS scenario as a climate-related scenario	-
Company uses the IRENA scenario as a climate-related scenario (2023)	-
Other Scenario Analysis for Above 2C (2023)	YES
Company uses the IEA STEP scenario as a climate-related scenario	-
Company uses the BNEF NEO scenario as a climate-related scenario for transition risks	-
Company uses NGFS Below 2C as the scenario as a climate-related scenario	-
NGFS Above 2C scenarios	-

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Questionnaire

Has your company conducted climate-related scenario analysis? Please specify where this is available in your public reporting or corporate website.

1. (●) Yes, we have conducted climate-related scenario analysis
   1. ( ) We use qualitative climate-related scenario analysis
   2. ( ) We use quantitative climate-related scenario analysis
   3. (●) We use qualitative and quantitative climate-related scenario analysis

Please select any climate-related scenarios your organization has used in their climate-related scenario analysis

Scenario Type	2°C or below 2°C	Above 2°C
Transition Scenario	1. ☐ IEA NZE 2050 2. ☐ IEA 2DS 3. ☐ IEA B2DS 4. ☐ IEA 450 5. ☐ IEA SDS 6. ☐ IEA APS or Nationally determined contributions (NDCs) 7. ☐ Greenpeace 8. ☐ DDP 9. ☐ IRENA 10. ☐ BNEF NEO 11. ☐ NGFS (2°C and below scenarios)	1. ☐ IEA STEPS (previously IEA NPS) 2. ☐ IEA CPS 3. ☐ NGFS (Above 2°C scenarios)
Physical Scenario	1. ☐ RCP 1.9 (or SSP1 1.9) 2. ☐ RCP 2.6 (or SSP1 2.6)	1. ☐ RCP 3.4 (or SSP4 3.4) 2. ☑ RCP 4.5 (or SSP2 4.5) 3. ☐ RCP 6.0 (or SSP4 6.0)

4. ☐ RCP 7.0 (or SSP3 7.0)
5. ☑ RCP 8.5 (or SSP5 8.5)

1. ☐ Our analysis covers at least one 2°C or below 2°C scenario that is not listed in the table, please provide further details.
2. ☑ Our analysis covers at least one above 2°C scenario that is not listed in the table, please provide further details.

2. ○ No we do not publicly report on our climate-related scenario analysis.
3. ○ Not applicable. Please provide explanations in the comment box below.

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.